Federal Perkins Loans

When Stafford loans and other financial sources aren’t sufficient to cover costs, Perkins loans are sometimes available. With a Perkins loan, the college decides on the amount of the loan, up to $4,000 per year for undergraduate students, with a lifetime limit of $20,000. Graduate students can borrow a maximum of $6,000 for each year of graduate or professional study, with a lifetime limit of $40,000, including any undergraduate Perkins loans. Although these are the maximum amounts allowed by law, actual awards are usually less because schools try to use their limited funds to assist as many eligible students as possible.

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Colleges award federal Perkins loans as part of their financial aid programs, based on financial need. The federal government provides most of the funds and the college kicks in the rest. To be considered, you would have checked “yes” in the section of your Free Application for Federal Student Aid (FAFSA) that asks about interest in student loans.

Interest rates are fixed at 5 percent for the life of the loan, which cannot exceed ten years. No interest payments are required while you’re a student, as long as you attend at least half-time. There’s a nine-month grace period after you graduate, drop below half-time status, or leave school. Repayment begins at the end of the grace period and is made directly to the college.

Terms of the Loan

You may be able to receive a deferment or forbearance on a Perkins loan by applying to your college. During a deferment, you can temporarily postpone payments without accruing interest. If you’re not eligible for a